



SUITABILITY

Real estate is suitable for people who are generally scared of mutual funds, equity, and debt. It is for those, who are not comfortable with the financial assets and would prefer physical assets.

Secondly, real estate is suitable for someone who is buying the asset not only for its investment value but also for its utility value. For instance, a person buying a house is also looking for a place to stay. It is not merely an asset. Similarly, a person buying land might consider farming or building a factory on the same.

Other than this, real estate may be suitable for anyone who has inherited a lot of ancestral property. As so much property is inherited, it is difficult to liquidate it and invest it efficiently in other asset classes and as a result, real estate is suitable.

Long term and experienced real estate investors can buy real estate and make a great return out of it, making judicious use of debt. However, this too is a skill that needs to be learned over time. In most cases, it does not make sense to buy real estate with 100% equity unless prices are volatile.